

# RSM219 – CLASS 4

JOURNAL ENTRIES

# What is a Journal Entry?

- Captures a transaction in a clear and concise manner.
- Allows organizations to record transactions.
- Essentially, they translate transactions into the “accounting language”

| DATE | Account & Explanation | Debit | Credit |
|------|-----------------------|-------|--------|
|      |                       |       |        |
|      |                       |       |        |
|      |                       |       |        |

# What is a Journal Entry?

| DATE | Account & Explanation | Debit | Credit |
|------|-----------------------|-------|--------|
|      |                       |       |        |
|      |                       |       |        |
|      |                       |       |        |

1. The Date captures the timing of the transaction or adjustment. This is important since financial statements are prepared at a specific dates. This helps to determine if a transaction should be included in the FS for a given period.
2. Accounts will help us identify which financial elements are impacted by the transactions.
3. The explanation will help to summarize some key details of the transaction in case any questions arise or if it needs to be reviewed or audited later on.
4. The Debits will always be on the left while the credits will always be on the right. Debits and Credits will capture the \$ movement in the specific account. A Debit and Credit will signal whether the amount is increasing or decreaing the balance of a specific Financial Statement without needing to use + / -.
5. For any transaction, all debits must equal the credits.

# How do Debits and Credits Work

| Balance Sheet |   |                      |   |                                                    | Income Statement |                  |                      |
|---------------|---|----------------------|---|----------------------------------------------------|------------------|------------------|----------------------|
| Cash          | + | Noncash Assets       | = | Liabilities + Contributed Capital + Earned Capital | Revenue          | -                | Expense = Net Income |
| ASSETS        |   | LIABILITIES + EQUITY |   |                                                    | Increases Equity | Decreases Equity |                      |
| DEBIT balance |   | CREDIT balance       |   |                                                    | CREDIT balance   | DEBIT balance    |                      |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

# T-Accounts

Journal entry ► how a transaction is recorded into an accounting system

T-Accounts ► where the transaction is kept

Think of T-Accounts as being a data base – it is where the journal entry goes.

| Debits | Credits | Debits | Credits | Debits | Credits | Debits | Credits |
|--------|---------|--------|---------|--------|---------|--------|---------|
|        |         |        |         |        |         |        |         |

## 1.2 THL Journal Entries

| Balance Sheet |   |                   |   |                          |   |                     |   | Income Statement |         |   |         |   |            |
|---------------|---|-------------------|---|--------------------------|---|---------------------|---|------------------|---------|---|---------|---|------------|
| Cash          | + | Noncash Assets    | = | Liabilities              | + | Contributed Capital | + | Earned Capital   | Revenue | - | Expense | = | Net Income |
| N/A           | + | \$3,000 Inventory | = | \$3,000 Accounts Payable | + | N/A                 | + | N/A              | N/A     | - | N/A     | = | N/A        |

THL's purchase increased its inventory asset by \$3,000 and simultaneously increased its liabilities by \$3,000 (accounts payable) since the payment is deferred. As both assets and liabilities increase by the same amount, there is no immediate effect on equity, meaning neither contributed nor earned equity is affected by this transaction.

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE    | Account & Explanation | Debit | Credit |
|---------|-----------------------|-------|--------|
| July 15 |                       |       |        |
|         |                       |       |        |
|         |                       |       |        |

## 1.3 THL Journal Entries

| Balance Sheet                         |   |                      |   |             |   |                     |   | Income Statement |         |   |         |   |            |
|---------------------------------------|---|----------------------|---|-------------|---|---------------------|---|------------------|---------|---|---------|---|------------|
| Cash                                  | + | Noncash Assets       | = | Liabilities | + | Contributed Capital | + | Earned Capital   | Revenue | - | Expense | = | Net Income |
| \$(6,000)<br><i>Investing outflow</i> | + | \$6,000<br>Equipment | = | N/A         | + | N/A                 | + | N/A              | N/A     | - | N/A     | = | N/A        |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE    | Account & Explanation | Debit | Credit |
|---------|-----------------------|-------|--------|
| July 15 |                       |       |        |
|         |                       |       |        |
|         |                       |       |        |

# 1.4 THL Journal Entries

| Balance Sheet                      |   |                |   |                      |   |                     | Income Statement |                |         |                        |
|------------------------------------|---|----------------|---|----------------------|---|---------------------|------------------|----------------|---------|------------------------|
| Cash                               | + | Noncash Assets | = | Liabilities          | + | Contributed Capital | +                | Earned Capital | Revenue | - Expense = Net Income |
| \$6,000<br><i>Financing inflow</i> | + | N/A            | = | \$6,000<br>Bank Loan | + | N/A                 | +                | N/A            | N/A     | - N/A = N/A            |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE           | Account & Explanation | Debit | Credit |
|----------------|-----------------------|-------|--------|
| <i>July 31</i> |                       |       |        |
|                |                       |       |        |
|                |                       |       |        |

## 2.1 THL Journal Entries

| Balance Sheet                         |   |                         |   |             |   |                     |   | Income Statement |         |   |         |   |            |
|---------------------------------------|---|-------------------------|---|-------------|---|---------------------|---|------------------|---------|---|---------|---|------------|
| Cash                                  | + | Noncash Assets          | = | Liabilities | + | Contributed Capital | + | Earned Capital   | Revenue | - | Expense | = | Net Income |
| (\$1,000)<br><i>Operating outflow</i> | + | \$1,000<br>Prepaid rent | = | N/A         | + | N/A                 | + | N/A              | N/A     | - | N/A     | = | N/A        |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE     | Account & Explanation | Debit | Credit |
|----------|-----------------------|-------|--------|
| August 1 |                       |       |        |
|          |                       |       |        |
|          |                       |       |        |

## 2.2 THL Journal Entries

| Balance Sheet |   |                |   |             |   |                     | Income Statement |                |         |   |         |   |            |
|---------------|---|----------------|---|-------------|---|---------------------|------------------|----------------|---------|---|---------|---|------------|
| Cash          | + | Noncash Assets | = | Liabilities | + | Contributed Capital | +                | Earned Capital | Revenue | - | Expense | = | Net Income |

|                                   |   |                              |   |     |   |     |   |     |     |   |     |   |     |
|-----------------------------------|---|------------------------------|---|-----|---|-----|---|-----|-----|---|-----|---|-----|
| (\$1,500)<br>Operating<br>outflow | + | \$1,500<br>Damage<br>deposit | = | N/A | + | N/A | + | N/A | N/A | - | N/A | = | N/A |
|-----------------------------------|---|------------------------------|---|-----|---|-----|---|-----|-----|---|-----|---|-----|

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE     | Account & Explanation | Debit | Credit |
|----------|-----------------------|-------|--------|
| August 1 |                       |       |        |
|          |                       |       |        |
|          |                       |       |        |

# 2.3 THL Journal Entries

| Balance Sheet                  |   |                |   |                               |   | Income Statement    |   |                |              |
|--------------------------------|---|----------------|---|-------------------------------|---|---------------------|---|----------------|--------------|
| Cash                           | + | Noncash Assets | = | Liabilities                   | + | Contributed Capital | + | Earned Capital |              |
| (\$3,000)<br>Operating outflow | + | N/A            | = | (\$3,000)<br>Accounts payable | + | N/A                 | + | N/A            |              |
|                                |   |                |   |                               |   | Revenue             | - | Expense        | = Net Income |
|                                |   |                |   |                               |   | N/A                 | - | N/A            | = N/A        |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE      | Account & Explanation | Debit | Credit |
|-----------|-----------------------|-------|--------|
| August 15 |                       |       |        |
|           |                       |       |        |
|           |                       |       |        |

# 2.4 THL Journal Entries

| Balance Sheet |   |                |   |             |   | Income Statement    |   |                |  |
|---------------|---|----------------|---|-------------|---|---------------------|---|----------------|--|
| Cash          | + | Noncash Assets | = | Liabilities | + | Contributed Capital | + | Earned Capital |  |
|               |   |                |   |             |   |                     |   |                |  |
| Revenue       | - | Expense        | = | Net Income  |   |                     |   |                |  |

2.4a: to record the payment for the advertisement on August 20

|                   |   |                             |   |     |   |     |   |     |     |   |     |   |     |
|-------------------|---|-----------------------------|---|-----|---|-----|---|-----|-----|---|-----|---|-----|
| Operating outflow | + | \$1,000 Prepaid advertising | = | N/A | + | N/A | + | N/A | N/A | - | N/A | = | N/A |
|-------------------|---|-----------------------------|---|-----|---|-----|---|-----|-----|---|-----|---|-----|

2.4b: to record the completion of the agreement and work completed by the newspaper company

|     |   |                               |   |     |   |     |   |                             |  |     |   |                             |   |           |
|-----|---|-------------------------------|---|-----|---|-----|---|-----------------------------|--|-----|---|-----------------------------|---|-----------|
| N/A | + | (\$1,000) Prepaid advertising | = | N/A | + | N/A | + | (\$1,000) Retained earnings |  | N/A | - | \$1,000 Advertising expense | = | (\$1,000) |
|-----|---|-------------------------------|---|-----|---|-----|---|-----------------------------|--|-----|---|-----------------------------|---|-----------|

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE      | Account & Explanation | Debit | Credit |
|-----------|-----------------------|-------|--------|
| August 20 |                       |       |        |
|           |                       |       |        |
|           |                       |       |        |
| August 25 |                       |       |        |
|           |                       |       |        |
|           |                       |       |        |

# 2.5 THL Journal Entries

| Balance Sheet                      |   |                              |   |             |   |                     |   | Income Statement               |             |   |                               |   |            |
|------------------------------------|---|------------------------------|---|-------------|---|---------------------|---|--------------------------------|-------------|---|-------------------------------|---|------------|
| Cash                               | + | Noncash Assets               | = | Liabilities | + | Contributed Capital | + | Earned Capital                 | Revenue     | - | Expense                       | = | Net Income |
| \$8,200<br><i>Operating inflow</i> | + | \$300<br>Accounts receivable | = | N/A         | + | N/A                 | + | \$8,500<br>Retained earnings   | \$8,500     | - | (see below)                   | = | \$8,500    |
| N/A                                | + | (\$2,200)<br>Inventory       | = | N/A         | + | N/A                 | + | (\$2,200)<br>Retained earnings | (see above) | - | \$2,200<br>Cost of goods sold | = | (\$2,200)  |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE             | Account & Explanation | Debit | Credit |
|------------------|-----------------------|-------|--------|
| <i>August 31</i> |                       |       |        |
|                  |                       |       |        |
|                  |                       |       |        |
| <i>August 31</i> |                       |       |        |
|                  |                       |       |        |
|                  |                       |       |        |

# 2.6 THL Journal Entries

| Balance Sheet                  |   |                |   |             |   |                     | Income Statement |                                |         |                                        |
|--------------------------------|---|----------------|---|-------------|---|---------------------|------------------|--------------------------------|---------|----------------------------------------|
| Cash                           | + | Noncash Assets | = | Liabilities | + | Contributed Capital | +                | Earned Capital                 | Revenue | - Expense = Net Income                 |
| (\$3,000)<br>Operating outflow | + | N/A            | = | N/A         | + | N/A                 | +                | (\$3,000)<br>Retained earnings | N/A     | - \$3,000<br>Wages expense = (\$3,000) |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE      | Account & Explanation | Debit | Credit |
|-----------|-----------------------|-------|--------|
| August 31 |                       |       |        |
|           |                       |       |        |
|           |                       |       |        |

## 2.7 THL Journal Entries

| Balance Sheet                      |   |                |   |                             |   |                     |   | Income Statement |         |   |         |   |            |
|------------------------------------|---|----------------|---|-----------------------------|---|---------------------|---|------------------|---------|---|---------|---|------------|
| Cash                               | + | Noncash Assets | = | Liabilities                 | + | Contributed Capital | + | Earned Capital   | Revenue | - | Expense | = | Net Income |
| \$1,000<br><i>Operating inflow</i> | + | N/A            | = | \$1,000<br>Unearned revenue | + | N/A                 | + | N/A              | N/A     | - | N/A     | = | N/A        |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE         | Account & Explanation | Debit | Credit |
|--------------|-----------------------|-------|--------|
| August<br>31 |                       |       |        |
|              |                       |       |        |
|              |                       |       |        |

# 2.8 THL Journal Entries

| Balance Sheet                         |   |                |   |             |   |                     |   | Income Statement               |         |   |         |   |            |
|---------------------------------------|---|----------------|---|-------------|---|---------------------|---|--------------------------------|---------|---|---------|---|------------|
| Cash                                  | + | Noncash Assets | = | Liabilities | + | Contributed Capital | + | Earned Capital                 | Revenue | - | Expense | = | Net Income |
| (\$1,000)<br><i>Financing outflow</i> | + | N/A            | = | N/A         | + | N/A                 | + | (\$1,000)<br>Retained earnings | N/A     | - | N/A     | = | N/A        |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE      | Account & Explanation | Debit | Credit |
|-----------|-----------------------|-------|--------|
| August 31 |                       |       |        |
|           |                       |       |        |
|           |                       |       |        |

# THL Journal Entries

**ADJ-1: EQUIPMENT**

Recognize the use of the equipment for 1 month and therefore record the appropriate depreciation for 1 month.

| Balance Sheet |   |                |   |                                   |   |             |   |                     |   | Income Statement             |         |   |                               |   |            |
|---------------|---|----------------|---|-----------------------------------|---|-------------|---|---------------------|---|------------------------------|---------|---|-------------------------------|---|------------|
| Cash          | + | Noncash Assets | - | Contra Assets                     | = | Liabilities | + | Contributed Capital | + | Earned Capital               | Revenue | - | Expense                       | = | Net Income |
| N/A           | + | N/A            | - | \$100<br>Accumulated Depreciation | = | N/A         | + | N/A                 | + | (\$100)<br>Retained earnings | N/A     | - | \$100<br>Depreciation expense | = | (\$100)    |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE         | Account & Explanation | Debit | Credit |
|--------------|-----------------------|-------|--------|
| August<br>31 |                       |       |        |
|              |                       |       |        |
|              |                       |       |        |

# THL Journal Entries

## ADJ-2: INTEREST

Recognize the passage of time and the “charge” for interest (as “fee for renting money”) relating to August.

| Balance Sheet |   |                |   |               |   |                          |   |                     |   | Income Statement            |         |   |                          |   |            |
|---------------|---|----------------|---|---------------|---|--------------------------|---|---------------------|---|-----------------------------|---------|---|--------------------------|---|------------|
| Cash          | + | Noncash Assets | - | Contra Assets | = | Liabilities              | + | Contributed Capital | + | Earned Capital              | Revenue | - | Expense                  | = | Net Income |
| N/A           | + | N/A            | - | N/A           | = | \$50<br>Interest payable | + | N/A                 | + | (\$50)<br>Retained earnings | N/A     | - | \$50<br>Interest expense | = | (\$50)     |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE         | Account & Explanation | Debit | Credit |
|--------------|-----------------------|-------|--------|
| August<br>31 |                       |       |        |
|              |                       |       |        |
|              |                       |       |        |

# THL Journal Entries

### ADJ-3: RENT

Recognize the passage of time and the “charge” for the use of space (i.e. rent) relating to August.

| Balance Sheet |   |                           |   |               |   |             |   |                     |   | Income Statement               |         |   |                         |   |            |
|---------------|---|---------------------------|---|---------------|---|-------------|---|---------------------|---|--------------------------------|---------|---|-------------------------|---|------------|
| Cash          | + | Noncash Assets            | - | Contra Assets | = | Liabilities | + | Contributed Capital | + | Earned Capital                 | Revenue | - | Expense                 | = | Net Income |
| N/A           | + | (\$1,000)<br>Prepaid rent | - | N/A           | = | N/A         | + | N/A                 | + | (\$1,000)<br>Retained earnings | N/A     | - | \$1,000<br>Rent expense | = | (\$1,000)  |

|             | INCREASE (+) | DECREASE (-) |
|-------------|--------------|--------------|
| ASSETS      | Debit        | Credit       |
| LIABILITIES | Credit       | Debit        |
| EQUITY      | Credit       | Debit        |
| REVENUE     | Credit       | Debit        |
| EXPENSES    | Debit        | Credit       |

| DATE         | Account & Explanation | Debit | Credit |
|--------------|-----------------------|-------|--------|
| August<br>31 |                       |       |        |
|              |                       |       |        |
|              |                       |       |        |